



American Apparel
Employee Guidebook + Stan-
dards
Sales Associate - Echo Park

DO NOT COPY

Leave Signature in Box Below:

A large, empty rectangular box with a thin black border, intended for the employee's signature.

Model Consent Form

Address all photos to office@americanapparel.net

Name: _____

Age: _____

Sex: _____

Preferences and Restrictions:

Leave Signature In Box Below:

Guide

- I. Employment; Position and Duties; Exclusive Services
- II. Term of Agreement
- III. Salary and Bonuses
- IV. Equity Awards
- V. Pension and Welfare Benefits
- VI. Other Benefits
- VII. Termination of Employment
- VII (cont.) Signature

1. Employment; Position and Duties; Exclusive Services.

a) **Employment.** The Company agrees to employ the Executive, and the Executive agrees to be employed by the Company, for the Term provided in Section 2 below and upon the other terms and conditions hereinafter provided.

(b) **Position and Duties.**

During the Term, the Executive (i) agrees to serve as the interim Chief Executive Officer, Executive Vice President and Chief Financial Officer of the Company and to perform such reasonable duties as may be assigned to him from time to time by the Board of Directors of the Company (the "Board"), (ii) shall report, as Chief Financial Officer, only to the Board, the Chairman or Co-Chairmen of the Board, the Chief Executive Officer, and the President of the Company, and as interim Chief Executive Officer only to the Board and the Chairman of the Board, (iii) shall be given such authority as is appropriate given the Executive's position in a company the nature and size of the Company to carry out the duties described above, and (iv) agrees to serve, if elected, at no additional compensation in the position of officer or

director of any subsidiary or affiliate of the Company.

(c) **Exclusive Services.** During the Term, and except for illness or incapacity, the Executive shall devote all of his business time, attention, skill and efforts exclusively to the business and affairs of the Company and its subsidiaries and affiliates, shall not be engaged in any other business activity, and shall perform and discharge the duties which may be assigned to him from time to time by the Board, the Chairman of the Board or, as Chief Financial Officer, by the Chief Executive Officer consistent with his position; provided, however, that nothing in this Agreement shall preclude the Executive from devoting time during reasonable periods required for:

- (i) serving, in accordance with the Company's policies, as a director or member of a committee of any company or organization involving no actual or potential conflict of interest with the Company or any of its subsidiaries or affiliates,
- (ii) delivering lectures and fulfilling speaking engagements,
- (iii) engaging in charitable and community activities, and
- (iv) investing his personal

assets in a Passive Investment. For purposes of this Agreement, a "Passive Investment" shall mean an investment in a business or entity which does not require the Executive to render any services in the operations or affairs of such business or entity and which does not materially adversely affect or interfere with the performance of the Executive's duties and obligations to the Company or any of its subsidiaries or affiliates.

(d) **Place of Employment.** The Executive shall perform his duties out of the Company's Los Angeles, California office (as same may be relocated in the same metropolitan area from time to time) or at such other location as shall be agreed to by the Company and the Executive.

2. Term of Agreement.

The term of employment under this Agreement shall initially be the period commencing on June 18, 2014 and ending on February 6, 2015, and shall be automatically extended without further action by either party for successive one-year periods as of each February 7 (beginning February 7, 2015)

(each, an "Extension Date"), unless written notice of the Company's intention to terminate this Agreement has been given to the Executive at least 90 days prior to the expiration of the Term (including any one-year extension thereof). As used in this Agreement, the "Term" shall mean the initial one year term plus any extensions thereof as provided in this Section 2.

3. Salary and Bonuses.

The Executive's cash compensation for all services to be rendered by him in any capacity hereunder shall consist of base salary and other compensation as provided in this Section.

(a) **Salary.** The Executive shall be paid a minimum base salary at the rate of \$62,500 per month for so long as the Executive serves as interim Chief Executive Officer and \$36,750 per month following the commencement of employment of a new Chief Executive Officer and the Executive's relinquishment of such title; provided,

however, that the minimum base salary of \$62,500 per month shall be in effect for no less than six months. The Salary shall be payable in accordance with the customary payroll practices for executives of the Company. The amount of the Executive's Salary will be reviewed not less often than annually by the Compensation Committee of the Board (the "Compensation Committee") and may be increased, but not decreased below such amount, on the basis of such review. The Executive's annual base salary, as in effect from time to time, is hereinafter referred to as the "Salary."

(b) Performance Bonuses. The Executive will be eligible to receive an annual incentive compensation award in respect of each fiscal year of the Company during the Term, with a target payment equal to 75% (and a maximum payment of 100%) of Salary during each such fiscal year, subject to the terms and conditions of the Company's annual bonus plan, and further subject to sales, EBITDA, net debt and inventory goals, criteria or targets, including, without limitation, the timely delivery of reviewed and audited, as applicable, financial statements and timely required SEC filings,

reasonably determined by the Board or the Compensation Committee in its sole discretion in respect of each such fiscal year (each such annual award under the Company's Form S-8 Registration Statement covering shares of Common Stock issuable pursuant to the Equity Plan (as in effect from time to time, the "Form S-8") bonus, an "Annual Bonus"). The Annual Bonus performance targets to be applied to the Executive shall be no less favorable than the annual bonus targets applied to other similarly situated senior executives of the Company. Any Annual Bonus earned shall be payable one hundred percent (100%) in cash. The Annual Bonus earned in respect of each fiscal year of the Company during the Term, if any, shall be paid to the Executive in the fiscal year immediately following the fiscal year for which the bonus is earned, but in all events no later than two and one-half (2½) months after the end of the applicable fiscal year for which the bonus is earned. For purposes of calculating the Executive's Annual Bonus for the Company's 2015 fiscal year pursuant to this Section 3 (and any subsequent fiscal year(s) in which he serves as

interim Chief Executive officer for any portion of such year(s)), the Executive's Salary for such fiscal year shall be equal to the actual base salary that the Executive receives during such fiscal year (including any increased base salary that the Executive receives during any portion of such fiscal year by reason of serving as the interim Chief Executive Officer during such fiscal year).

4. Equity Awards.

(a) As of the Effective Date, the Executive holds the equity awards set forth on Exhibit A. As reflected on that Exhibit, pursuant to the terms of the Company's 2011 Omnibus Stock Plan (the "Equity Plan"), on the Effective Date the Compensation Committee granted to the Executive 350,000 fully vested shares of the common stock of the Company ("Common Stock").

(b) The Executive shall be permitted to satisfy his tax withholding obligations that arise in connection with any stock option or restricted stock award issued pursuant to the Equity Plan or any successor thereto (including but not limited to the awards set forth on Exhibit A) with shares of Common Stock, including

exercised pursuant to the stock option under which the tax withholding obligation arises or unrestricted shares of Common Stock that vest pursuant to the restricted stock award under which the tax withholding obligation arises.

(c) In the event a successor corporation or a parent or subsidiary of a successor corporation to a transaction refuses to assume or substitute for the Executive's outstanding stock option or restricted stock awards (including but not limited to the awards set forth on Exhibit A), the Executive shall (i) fully vest in and, have the right to exercise all of his outstanding stock options, including shares as to which such stock options would not otherwise be vested or exercisable, and (ii) fully vest in all of his outstanding restricted stock awards.

5. Pension and Welfare Benefits.

During the Term, the Executive will participate in all pension and welfare plans, programs and benefits that are applicable to executives of the Company.

6. Other Benefits.

(a) Travel and Business-

related Expenses. During the Term, the Executive shall be reimbursed in accordance with the policies of the Company for traveling and other expenses incurred in the performance of the business of the Company.

(b) [reserved].

(c) Vacation; Leaves of Absence. During the Term, the Executive shall be eligible to participate in the Company's Time Away policy. The Company's Time Away policy, as opposed to traditional vacation and sick time accrual, requires that time off requests for any reason, must be submitted in writing to and approved in writing by the Executive's immediate supervisor in advance of the days requested. Approval is subject to departmental and business needs and is purely at the discretion of your supervisor. The Executive shall be allowed time away with pay on the same basis as the Company generally provides to other senior executive employees of the Company.

7. Termination of Employment.

Upon termination of the Executive's employment for any reason, the Executive agrees to resign, as of the date of such termination

and to the extent applicable, from the Board (and any committees thereof) and the board of directors of any of the Company's affiliates and direct or indirect subsidiaries (and any committees thereof), if applicable, and agrees to resign as an officer of the Company and each of the Company's affiliates and direct or indirect subsidiaries.

(a) Termination for Cause; Resignation Without Good Reason.

(i) If the Executive's employment is terminated by the Company for Cause (as defined below in this Section) or if the Executive resigns from his employment without Good Reason other than for death or Disability (as defined below in Section 7(d)), prior to the expiration of the Term, the Executive shall be entitled to receive: (A) the Salary provided for in Section 3(a) as accrued through the date of such resignation or termination; and (B) any unreimbursed expenses. The Executive shall not accrue or otherwise be eligible to receive Salary payments or to participate in any plans, programs or benefits described in Section 5 hereof with respect to periods after the date of such termination or

resignation and shall not be eligible to receive any annual performance bonus or long term performance bonus in respect of the year of such termination or resignation or any calendar year following the year in which such termination or resignation occurs. Any bonus earned in respect of a year prior to the year in which such termination or resignation occurs shall be payable at the same time and in the same manner as bonuses are paid to participants in the applicable bonus plan. Subject to Section 17 and Section 19, the Executive shall have no right under this Agreement or otherwise to receive any other compensation, or to participate in any other plan, arrangement or benefit, with respect to future periods after such termination or resignation of employment (except to the extent provided for under the terms of any such plan, arrangement or benefit).

(ii) Termination for "Cause" shall mean termination by action of the Board, upon prior approval and recommendation by the Committee (as defined below), because of: (A) the Executive's willful and continued failure (other than by reason of the incapacity of the Executive due to physical or

mental illness) substantially to perform his duties hereunder; (B) the conviction of the Executive or the Executive entering a plea of guilty or nolo contendere to a crime that constitutes a felony or the perpetration by the Executive of a serious and material dishonest act against the Company or any of its affiliates or subsidiaries; (C) any willful misconduct by the Executive that is materially injurious to the financial condition or business reputation of the Company or any of its affiliates or subsidiaries; or (D) chronic alcoholism or drug abuse which materially affects the Executive's performance hereunder, provided, however, that no event or circumstance shall be considered to constitute Cause within the meaning of this clause (ii) unless the Executive has been given written notice of the events or circumstances constituting Cause and has failed to effect a cure thereof within 30 calendar days following the receipt of such notice.

(iii) Resignation for "Good Reason" shall mean the resignation of the Executive because of (A) a material reduction in the Executive's responsibilities, duties,

authority, status or titles as described in Section 1 above (provided, however, that a reduction by virtue of the Executive no longer being interim Chief Executive Officer due to the commencement of employment of a new Chief Executive Officer appointed by the Board, upon prior approval and recommendation by the Committee, shall not constitute Good Reason); (B) failure by the Company to pay or provide the Executive when due any compensation, benefits or perquisites to which the Executive is entitled pursuant to this Agreement or any other plan, contract or arrangement in which the Executive participates or is entitled to participate; (C) a material change in the Executive's reporting structure (provided, however, that such a change by virtue of no longer being interim Chief Executive Officer due to the commencement of employment of a new Chief Executive Officer appointed by the Board, upon prior approval and recommendation by the Committee, shall not constitute Good Reason); (D) failure of any successor (whether direct or indirect, by stock or asset purchase, merger, consolidation or otherwise) to all or substantially all of

the business and/or assets of the Company to assume the Agreement (either by operation of law or in writing), (E) a material breach of the Company's obligations under this Agreement; or (F) the occurrence of a "Change in Control" as that phrase is defined in the Equity Plan following the Effective Date, or the execution and delivery of that certain Nomination, Standstill and Support Agreement entered into between Standard General L.P., Dov Charney, the Company and certain other persons as of July 9, 2014, which execution and delivery occurred on July 9, 2014, and was a Change in Control for purposes of this Agreement; provided, however, that no event or circumstance shall be considered to constitute Good Reason within the meaning of this clause (iii) unless (except with respect to clause (iii)(F)) the Board has been given written notice of the events or circumstances constituting Good Reason by the Executive within 60 days of the initial occurrence of such event or circumstance; with respect to any event or circumstance described in clauses (iii)(A) — (E), the Company has failed to effect a cure thereof within

30 calendar days following the receipt of such notice; and the Executive has given notice of termination within 30 calendar days following the expiration of the 30-day cure period (in the case of clauses (iii)(A) — (E)) or within six months following the occurrence of the events or circumstances constituting Good Reason (in the case of clause (iii)(F)). (iv) The date of termination of employment by the Company pursuant to this Section 7(a) shall be the date specified in a written notice of termination from the Company to the Executive, which, in the case of a proposed termination to which the 30-day cure period provided for in subsection (ii) above applies shall be no less than 31 days after the delivery of such notice to the Executive. The date of a resignation by the Executive pursuant to this Section 7(a) shall be the date specified in the written notice of resignation from the Executive to the Company or, if no date is specified therein, ten business days after receipt by the Company of the written notice of resignation from the Executive.

(b) Termination Without Cause, Resignation for Good Reason. (i) If the Executive's employment is terminated by

the Company without Cause or if the Executive should resign for Good Reason, prior to the expiration of the Term, he shall be entitled to receive: (A) the Salary provided for in Section 3(a) as accrued through the date of such resignation or termination and, subject to the Executive's execution and delivery of a general release of all claims against the Company and its affiliates and the expiration of any release revocation period, which release shall be consistent with the terms of this Agreement and approved in form by the Committee (the "Release"), in each case within sixty (60) days following termination of employment, a payment equal to the Executive's Salary for a period of twelve (12) months (based on a \$595,500 Salary rate), payable in a lump sum to the extent permissible under Section 1.409A-1(b)(9)(iii) of the regulations under Section 409A of the Internal Revenue Code of 1986, as amended (the "Code"), and payable in accordance with the Company's usual payment practices with respect to any other portion of the payment; provided that the first payment shall be made on the sixtieth (60th) day following termination of employment

and shall include payment of any amounts that would otherwise be due prior thereto, which twelve (12) months of Salary shall be placed in escrow (which escrow shall be by its terms controlled solely by the Committee) promptly following the Effective Date, with such escrowed Salary to be used by the Company solely for the purpose of making the Salary payment described in this Section 7(b) (i) (but subject to the claims of any Company creditors in the event of the Company's insolvency); such escrowed Salary will be released to the Executive in a timely manner in accordance with the provisions of this Section 7(b) and Section 23 promptly following the instruction of the Committee; (B) any bonus earned but not yet paid in respect of any calendar year preceding the year in which such termination or resignation occurs; and (C) any unreimbursed expenses. Amounts set forth above that are not subject to the Release shall be paid within thirty (30) days following termination of employment. In addition, subject to the Executive's execution and delivery of the Release as described in clause (A), the Executive shall (i) fully vest in and have the right to

exercise all of his outstanding stock options, including shares as to which such stock options would not otherwise be vested or exercisable (provided, however, that with respect to any portion of such stock options which were unvested prior to the date of termination, such right to exercise will be effective as of the date on which the Release is no longer revocable), and (ii) fully vest in all of his outstanding restricted stock awards. Subject to the Executive's execution and delivery of the Release and the expiration of any revocation period with respect to the Release within sixty (60) days following termination of employment, the Executive (and those eligible dependents who were participants in the applicable plans as of the termination date) shall also be entitled to continued participation in the medical, dental and insurance plans and arrangements described in Section 5, on the same terms and conditions as are in effect immediately prior to such termination or resignation, until the earlier to occur of (i) the first anniversary of the termination of Executive's employment with the Company, and (ii) such time as the Executive is

entitled to comparable benefits provided by a subsequent employer (the "Continuation Period"). Anything herein to the contrary notwithstanding, the Company shall have no obligation to continue to maintain any plan or program solely as a result of the provisions of this Agreement. If, during the Continuation Period, the Executive is precluded from participating in a plan or program by its terms or applicable law or if the Company for any reason ceases to maintain such plan or program, the Company shall provide the Executive with compensation or benefits the aggregate value of which, in the reasonable judgment of the Company, is no less than the aggregate value of the compensation or benefits that the Executive would have received under such plan or program had he been eligible to participate therein or had such plan or program continued to be maintained by the Company. (ii) Except as may be provided under the terms of any applicable grants to the Executive, under any plan or arrangement in which the Executive participates or except as may be otherwise required by applicable law,

including, without limitation, the provisions of Section 4980B(f) of the Code or as set forth under Section 17 and Section 19, the Executive shall have no right under this Agreement or any other agreement to receive any other compensation, or to participate in any other plan, arrangement or benefit, with respect to future periods after such termination or resignation of employment. In the event of a termination or resignation pursuant to this Section 7(b), the Executive shall have no duty of mitigation with respect to amounts payable to him pursuant to this Section 7(b) or other benefits to which he is entitled pursuant hereto, except as provided in the immediately preceding paragraph. Notwithstanding anything to the contrary in this Agreement, the right of the Executive to receive payments provided for in this Section 7(b) shall be subject to Section 8 of this Agreement. In addition, the Company's obligation to pay the Executive the amounts provided and to make the arrangements provided hereunder shall not be subject to set-off, counterclaim or recoupment of amounts owed by the Executive to the Company or its affiliates. (iii) The date of termination of

employment by the Company pursuant to this Section 7(b) shall be the date specified in the written notice of termination from the Company to the Executive or, if no date is specified therein, ten business days after receipt by the Executive of the written notice of termination from the Company. The date of a resignation by the Executive pursuant to this Section 7(b) shall be the date specified in the written notice of resignation from the Executive to the Company, which, in the to which the 30-day cure period provided for in subsection 7(a)(iii) above applies shall be no less than 31 days after the delivery of such notice to the Company, and in case of a proposed resignation to which the 30-day cure period does not apply and where no date is specified therein, ten business days after receipt by the Company of the written notice of resignation from the Executive.

(c) Death. If the Executive's employment hereunder terminates by reason of death prior to expiration of the Term, the Executive's beneficiary (or if no such beneficiary is designated, his estate) shall be entitled to receive: (i) the Salary provided for in Section

3(a) as accrued through the date of the Executive's death; (ii) any bonus earned but not yet paid in respect of any calendar year preceding the year in which the Executive's death occurs; (iii) a bonus for the calendar year in which the Executive's death occurs equal to a pro rata portion of the Executive's target annual performance bonus, if any, for such year, determined on the basis of the number of days in such year through the date of the Executive's death; and (iv) any unreimbursed expenses. Bonus payments provided for in this Section 7(c) shall be made at the same time and in the same manner as bonuses are paid to participants in the applicable bonus plan. As used in this Section, the term "beneficiary" includes both the singular and the plural of such term, as may be appropriate. (d) Disability. If the Executive is terminated from employment by the Company as a result of the Executive's Disability (as defined below in this Section), the Executive, his conservator or guardian, as the case may be, shall be entitled to receive: (i) the Salary provided for in Section 3(a) as accrued through the date of the Executive's termination of employment; (ii) any bonus

earned but not yet paid in respect of any calendar year preceding the year in which the Executive's termination of employment occurs; (iii) a bonus for the calendar year in which the Executive's termination of employment occurs equal to a pro rata portion of the Executive's target bonus, if any, for such year, determined on the basis of the number of days in such year through the date of the Executive's termination of employment; and (iv) any unreimbursed expenses. Bonus payments provided for in this Section 7(d) shall be made at the same time and in the same manner as bonuses are paid to participants in the applicable bonus plan. For purposes of this Agreement, "Disability" shall mean that the Executive is unable to engage in any substantial gainful activity by reason of any medically determinable physical or mental impairment which can be expected to last for a continuous period of not less than 12 months. Any dispute as to whether or not the Executive is disabled within the meaning of the preceding sentence shall be resolved by a physician reasonably satisfactory to the Executive and the Company,

and the determination of such physician shall be final and binding upon both the Executive and the Company.

(iv) Termination Based on Public Slander on American Apparel.

By signing below you agree to all conditions and rules in this pamphlet, and along with these conditions, the rule that you may not enact civil or criminal suits against or make public claims towards American Apparel or any AA affiliates within or outside the company. This will result in an immediate termination and a reactionary lawsuit for defamation of brand name.

Sign Here:

